

**CXC JUNE 2012 EXAMINATION
PRINCIPLES OF ACCOUNTS – GENERAL PROFICIENCY LEVEL
PAPER 02 EXEMPLAR CRITIQUE**

QUESTION #7

<u>Score Awarded:</u>	19 marks
<u>Total Possible Score:</u>	20 marks
<u>Rating:</u>	EXCELLENT

This is an excellent response to the question. The candidate has demonstrated thorough knowledge and competence in both the practical aspects of the principles of accounting for cooperative societies, as well as the related theoretical content.

One mark was lost in the Income Statement, because candidate did not correctly calculate the amount paid out as dividends in the first year.

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Question 7 Candidate Number
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Liontown Cooperative

a) Income Statement for the Year ended 31 Dec 2010

Income Sales			70000
Less Cost of goods sold			
Cost of Sales			38000
Gross Profit			32000
Less Expenses			
Expenses			21000
Net Profit / Surplus			11000
Reserve			
Education Fund		4900	
purposed dividends		1100	
			11000
			000

i) Producer

ii) Credit union

iii) board of directors

iv) To help members to be more informed and also to improve their skills and ability.

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Question Cent 7 (c) Candidate Number 10
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Lientown Cooperative

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Balance Sheet as at 31 Dec 2011

<u>Fixed Assets</u>		cost \$	depreciation to date \$	net book value \$
Loans to members		120300	—	120300
Equipment	]	40000	—	40000
Portable Stalls		4500	—	4500
		<u>164800</u>	—	<u>164800</u>
<u>Current Assets</u>				
Inventory	]		29300	
Bank			126400	
Interest due from members			2100	
			<u>157800</u>	
<u>Less: Current liabilities</u>				
Creditor		4600	4600	
working capital proposed dividends		27500		16200
			<u>32100</u>	
Working capital				<u>125700</u>
				<u>290500</u>
<u>Less Long-term liabilities</u>				
loan				<u>100200</u>
				<u>190500</u>
<u>Financed by</u>				
Share capital		55000		
<u>Reserves</u>				
members Education		42500		
undistributed Profit		97400		
				<u>194900</u>

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<u>Score Awarded:</u>	18 marks
<u>Total Possible Score:</u>	20 marks
<u>Rating:</u>	EXCELLENT

This is an excellent response to the question. The candidate has demonstrated thorough knowledge and competence in the practical aspects of the principles of accounting for cooperative societies. More specifically, candidate ably demonstrated competence in the preparation of the Income Statement showing how surplus is distributed, and also the preparation of the Balance Sheet of a Co-operative.

Candidate lost two (2) marks in the theoretical part of this question, which required candidates to identify and apply knowledge of types of cooperatives, and features of cooperatives.

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Question 7 (a) Candidate Number ..
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Liontown Co-operative
Income statement & App A/c
for yr. ~~etc~~ ended 31 December 2010.

Sales		70 000
less cost of go sales		38 000
gross profit		32 000
less expenses		21 000
Net profit		11 000
Less appropriation		
Dividends	5 500	
Member's Education Fund	4 9500	(5 5000)
undistributed loss		(44 000)

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Question 7 (a) (i) (ii) (iii) Candidate Number ..
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- (a) (a) first year - sale trader
(b) Second year - credit union

(ii) One committee that Liontown is likely to use is credit union.

(iii) One purpose of the Member's Education Fund is to develop the member's education.

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Question 7 (c) Candidate Number ...
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Lion Cooperative
Balance sheet

as at 31 December 2011

<u>Fixed Assets</u>			
Loans to Members			120 300
Equipment			40 000
			160 300
<u>Current Assets</u>			
Bank	126 400		
Inventory	29 300		
Portable stalls	4 500		
Interest due from members	21 000	162 300	
<u>Less current liabilities</u>			
creditors	4 600		
Dividends (27 500 + 5 500)	33 000	(37 600)	
Working capital			124 700
			285 000
<u>Less long term loan</u>			
loan from Cooperative Union Bank			100 000
			185 000
<u>Financed by:</u>			
Share capital			55 000
Member's Education fund			32 600
undistributed profits			97 400
			185 000

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**CXC JUNE 2012 EXAMINATION
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QUESTION #7

Score Awarded: 14 marks
Total Possible Score: 20 marks
Rating: GOOD

This is a good response from the candidate who demonstrated knowledge and competence in aspects of the practical application of principles in accounting for cooperative societies. More specifically, candidate demonstrated competence in the preparation of the Income Statement showing how surplus is distributed.

The candidate was challenged in Part (b) of the question which tested theory relating to cooperatives. Candidate was unable to identify and correctly respond to a “types of cooperatives” question, for which two (2) marks were lost.

Part (c) of the question required candidates to prepare the cooperative’s Balance Sheet as at 31 December, 2011, for which a total of 10 marks were allocated. However, candidate was able to earn only six (6) of these marks, losing four (4) marks for the following reasons:

- ‘Interest due from members’ (\$2 100) was not treated as an asset – in fact this item was omitted altogether from the Balance Sheet. It should have been included in the “Current Assets” section.
- Another mark one (1) was lost because the “Current Liabilities” section was, again, omitted altogether.
- Two (2) additional marks were lost because a “Capital and Reserves” section was not included in candidate’s Balance Sheet. Examiners were looking for recognition that “Members Education Fund” and ‘Undistributed Profits/Surplus’ should be included and presented in the “Capital and Reserves” section of a cooperative’s Balance Sheet.

It is to be observed that, whilst candidate was rewarded for treating ‘Loans to members’ (\$120 300) as an asset, it would have been more correctly presented had it been in the “Fixed Assets” section of the Balance Sheet.

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Question 7 Candidate Number
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Liontown co-operative
Appropriation Income Statement
for year ended 31 Dec 2010

Sales	\$
Sales	70 000
Cost of Sales	<u>38 000</u>
Gross profit	32 000
less expenses	<u>21 000</u>
Net profit	<u>11 000</u>

Liontown Co-operative
Appropriation Account
for year ended 31 Dec 2010

Net profit	\$
proposed dividends	11 000
Returns Earned c/f to next year	<u>5 500</u>
	<u>5 500</u>

Balance sheet
as at 31 Dec 2010

current fixed assets	\$
Equipment	5 100
Stock	60 500
Bank	<u>2 300</u>
loan from members	0

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Question 17 Candidate Number 171111
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- a) In the first year, the bank is classified as a
co-operative.
- b) In the second year, the bank was classified as a
co-operative.
- c) One committee that the bank is likely to make
carry out its business is the board. (800) ✓
- d) One purpose of the members' education fund is
to provide ^{additional} money to members who are seeking
education, going to school or their children.
Members can choose to educate them ~~into~~ ^{at} school. ✓

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Question Candidate Number ..
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Liontown Cooperative
Balance Sheet
as at 31 Dec. 2011

Fixed Asset
Equipment
Portable Stalls
Current Asset

Stock 29300
Debtors 120300
Bank 126400

\$
40000
4800
44800

Long term
~~Current~~ liabilities

Loan from Cooperatives 100 000

276000
320500
316000

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QUESTION #7

<u>Score Awarded:</u>	11 marks
<u>Total Possible Score:</u>	20 marks
<u>Rating:</u>	SATISFACTORY

Candidate has produced a satisfactory response. Nine (9) marks were lost for the following reasons:

Part (a)

One (1) mark was lost for an incorrect calculation of the amount appropriated for Dividends, which should have been \$5 500.

Whilst the amount transferred to the 'Members' Education Fund' was incorrect, candidate was rewarded for correctly recognizing that this transfer was to be accounted for in the Appropriation section of the Income Statement.

Part (b)

This comprised the theoretical component of this question which posed a challenge for this candidate who was able to gain only one (1) of the three marks allotted, losing three (3) marks for the following reasons:

- Candidate was unable to demonstrate any knowledge at all regarding "types of cooperatives", losing two (2) marks.
- As well, candidate was challenged to name one committee that a cooperative is likely to use to carry out its business. This cost candidate the loss of one (1) mark.

Part (c)

Most of candidate's marks, five (5) total, were lost in this section of the question, which required the preparation of a classified Balance Sheet for the cooperative. The shortcomings evidenced here were as follows:

- 'Loans to members' (\$120 300) was not treated as an asset; specifically, it should have been presented in the "Fixed Assets" section –one (1) mark lost.
- 'Interest due from members' (\$2 100) was not treated as a "Current Asset" – lost one (1) mark.
- 'Dividends Owing' \$27 500) was not recognized at all, and not treated as "Current Liability" – one (1) additional mark lost.
- The Long-Term liability—'Loan from Coop Union Bank' (\$100 000) was not accounted for on this statement, there not even being a "Long-Term Liability" section – lost one (1) mark with respect to this item.
- The 'Members' Education Fund' item, (\$38 100), was left out and not reported in the "Capital and Reserves" section of the cooperative's Balance Sheet – lost another one (1) mark.

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Question 7 3/4 Candidate Number
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(b)(i) (a) first year: the type of cooperative under which Liantown was classified in the operation of its first year is

(b) Second year - Argeement

(ii) One committee that Liantown is likely to use to carry out its business is

(iii) One purpose of the members' Education fund is to educate persons about the business.

Liantown Cooperative

(c) Balance sheet as at 31st December, 2011

Fixed assets	cost	dep	N.B.V
Equipment	40000		40000
Portable stalls	4500		4500
current assets:			14500
inventory	29500		
Bank	106400		
		155900	
less current liabilities			
creditors	20000		
		4600	
working capital			151200
			195600
financed by:			
paid up capital	100150		
share premium	30000		
	130150		

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Question 7 Candidate Number ..
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(a) Liontown Cooperative
Income statement for the first year ended 31 Dec 2011

sales		70,000
Opening stock	—	
Add purchases	—	
Add earnings	—	
less closing stock	—	
less return outwards	—	
cost of sales		<u>38,000</u>
		32,000
less expenses:		
expenses	<u>21,000</u>	<u>11,000</u>
net profit		<u>11,000</u>

Liontown Cooperative
Appropriation Account for the first year ended 31 Dec 2011

less appropriation:		Surplus	157,500
reserve			
Education fund	33,600		
Dividends	27,500		
	32,600		
distributive	61,200		
surplus	157,500		157,500

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QUESTION #7

Score Awarded:	8 marks
Total Possible Score:	20 marks
Rating:	UNSATISFACTORY

This candidate's response was unsatisfactory. Marks were lost in all three parts of the question as follows:

Part (a)

Candidate gained only four (4) of the six (6) marks allocated for this part of the question. It needs to be pointed out that, whilst this candidate labelled his final figure in the Income Statement as "Gross Profit", it should be remembered that it would have been more correctly identified as "Net Surplus", as this is a cooperative's Income Statement. Candidate lost two (2) marks in this section for the following reasons:

- The amount to have been transferred to 'Members' Education Fund' was not identified and shown in the Income Statement – for which one mark was lost.
- There was no show either, for the correct calculation of dividends which should have been accounted for in the Appropriation section of the Income Statement – another mark was lost here.

Part (b)

Candidate lost two (2) of the possible four (4) marks allocated to this theory part of the question as follows:

- Candidate could not correctly identify the first example of a type of cooperative, and consequently lost one mark.
- With regards to features of a cooperative, candidate was unable to name one committee that a cooperative is likely to use to carry out its business; this resulted in the loss of another mark.

Part (c)

This candidate was particularly challenged in this section, which required the preparation of a classified balance sheet for a cooperative, and candidate was able to attract only two (2) of the allocated ten (10) marks. Marks were not awarded for the following reasons:

- The Balance Sheet heading was incorrect – lost one (1) mark.
- 'Loans to members' (\$120 300) was not treated as an asset; specifically, it should have been presented in the "Fixed Assets" section – lost one (1) mark.
- Incorrect items were selected and presented as "Current Assets" – lost one (1) mark.
- 'Interest due from members' (\$2 100) was not treated as a "Current Asset" – lost one (1) mark.
- 'Dividends Owing' was not recognized at all, and not treated as "Current Liability" – lost one (1) mark.
- Inability to distinguish the **asset**—'Loans **to** members' (\$120 300); from the Long-Term **liability**—'Loan **from** Coop Union Bank' (\$100 000); thus there was no "Long-Term Liability" section – lost one (1) mark.
- "Capital and Reserves" section not including the 'Members' Education Fund' and 'Undistributed Profits/Surplus' items – lost two (2) marks.

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Question 7.6)
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Candidate Number
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(c)

Lionwin Cooperative
Balance Sheet

for the year ended 31 December 2011

Fixed Assets:

Equipment	40 000
Inventory	29 300
Portable stalls	4 500
	<u>73 800</u>

Current Assets:

Debtors	46 000	46 000
Sales	290 000	290 000
Bank	126 400	126 400
GROSS PROFIT		494 800

Less: Current Liability

Expenses	46 000
Interest	2 100
member's education fund	<u>32 600</u>
	<u>(80 700)</u>
	414 100

Financed By:

Loans	220 300
Shareholders' capital	126 400
Reserves	126 400
	<u>220 300</u>
	<u>194 400</u>
Capital	<u>194 400</u>

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Question 7 Candidate Number
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(a)

Liontin Co-operative

Income Statement

for the first year ended 31 December, 2010

Sales	70 000
Less: Cost of sales	<u>38 000</u>
NET PROFIT	32 000
Purchases	31 000
Inventory at 31 December, 2010	<u>15 100</u>
	<u>59 100</u>
Less: Expenses	<u>21 000</u>
GROSS PROFIT	<u><u>36 100</u></u>

(b) (i) (a) First year - Organization

(b) Second year - Central Bank or Union Bank

London

(ii) One committee they are likely to use is

(iii) One purpose of the member's education fund is to educate their members of their business and train them and show them how to work and what they need to do.